

Abdul Wahid Educational and Charitable Trust (Reg.) v. Chief Engineer, Paschimanchal and 3 Others

High Court of Judicature at Allahabad · Division Bench · 27 June 2022 · WRIT - C No. 16953 of 2022 · **By order dated 27.06.2022 the Division Bench disposed of the writ. The petitioner-Trust, running a Medical College, had a 560 KVA connection which - as its own contract dated 24.09.2015 (load sanctioned 07.10.2015) showed - was in tariff HV-1, not HV-2 as the petitioner claimed; the department had raised an additional demand of Rs.1,33,06,055 on correcting bills mistakenly raised in HV-2, and had disconnected the supply from February 2022. The Court held the petitioner bound by its bilateral HV-1 contract and its plea that the tariff had been 'changed' after seven years to be a wrong statement on oath made to misguide the Court; applying Assistant Engineer (D1), Ajmer VVNL v. Rahamatullah Khan, it held that Section 56(2) of the Electricity Act, 2003 does not bar a supplementary demand raised for a bona fide mistake (limitation running from discovery under Section 17(1)(c) of the Limitation Act, 1963), so the two-year-bar/staleness plea was rejected and the petitioner was liable to pay the additional demand from the date of sanction until the bills were mistakenly raised in HV-2. However, Section 56(2) does not empower the licensee to disconnect supply as a coercive measure to recover an additional demand; the Court held the department should not have disconnected and directed reconnection forthwith (by the next evening). The petitioner was directed to deposit Rs.25 lacs within 15 days and to apply under Clause 6.14 of the Supply Code, 2005 for instalments of the billed amount, current bills to be paid in HV-1; default would leave the department free to proceed in accordance with law.**

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HEADNOTE

The petitioner, Abdul Wahid Educational and Charitable Trust, running a Medical College, held a 560 KVA electricity connection and challenged an order dated 19.05.2022 of the Executive Engineer determining its outstanding dues, and the disconnection of its supply from February 2022. It contended that a tariff HV-2 sanctioned on 07.10.2015 had been changed to HV-1 after seven years, that an additional demand of Rs.1,33,06,055 had been raised, and - relying on the Bombay High Court in *MSEDCL v. Electricity Ombudsman* and the Supreme Court in *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Ltd v. Rahamatullah Khan* - that recovery beyond two years was stale and barred by Section 56(2) of the Electricity Act, 2003. The Division Bench (Sunita Agarwal and Vikram D. Chauhan, JJ.) found from the petitioner's own contract dated 24.09.2015 that the sanction was in tariff HV-1, not HV-2; the petitioner, bound by the bilateral agreement, could not dispute billing in HV-1, and its plea of a tariff 'change' was a wrong statement on oath made to misguide the Court. Applying *Rahamatullah Khan*, the Court held that Section 56(2) does not preclude a licensee from raising an additional or supplementary demand after the limitation period in the case of a mistake or bona fide error - the limitation, under Section 17(1)(c) of the Limitation Act, 1963, running from the date the mistake is first discovered (here 2021) - so the staleness/two-year-bar plea failed and the petitioner was liable to pay the additional demand for the period from the sanction of load until the bills were mistakenly raised in HV-2. However, Section 56(2) does not empower a licensee to resort to the coercive measure of disconnection to recover an additional demand; the Court held the department should not have disconnected and directed it to reconnect the supply forthwith. The petitioner was directed to deposit Rs.25 lacs within 15 days and to seek instalments of the total billed amount under Clause 6.14 of the U.P. Electricity Supply Code, 2005, current bills being payable in HV-1; the writ was disposed of on those terms (a split outcome), with liberty to the department to proceed in accordance with law in case of default.

FACTUAL SUMMARY

The petitioner, Abdul Wahid Educational and Charitable Trust (Reg.), had set up a Medical College and applied for a 560 KVA electricity load; a contract for the connection was signed on 24.09.2015 and the load sanctioned on 07.10.2015. The petitioner claimed the tariff sanctioned was HV-2 and that the respondent Nigam had later changed it to HV-1, raising a demand of Rs.1,33,06,055 by order dated 23.07.2021. A notice dated 23.07.2021 was served on 10.08.2021 (reply 13.08.2021); a notice dated 21.09.2021 sought recovery as arrears of land revenue under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 (reply 30.09.2021); and a recovery notice dated 28.10.2021 was challenged in an earlier writ, in which, by order dated 08.04.2022, the Court quashed the notice dated 23.07.2021 and remitted the matter to the Executive Engineer to decide afresh after affording the petitioner an opportunity to object; the order dated 19.05.2022 followed. The petitioner's supply had been disconnected from February 2022 for non-payment. In the present writ (WRIT-C No. 16953 of 2022), the respondent Nigam produced the petitioner's contract dated 24.09.2015, which showed the sanction was for 560 KVA

in tariff HV-1 (not HV-2); the petitioner's counsel did not dispute the contract when it was placed before the Court. The petitioner expressed willingness to pay the additional demand in easy instalments.

REUSABLE CONSTRUCTIONS

1. Section 56(2) of the Electricity Act, 2003 does not preclude a licensee from raising an additional or supplementary demand after the expiry of the two-year limitation period where the earlier under-billing was due to a mistake or bona fide error; under Section 17(1)(c) of the Limitation Act, 1963 the limitation period for such a mistake runs from the date the mistake is first discovered. **order of 27.6.2022**
2. Although a supplementary demand for a bona fide mistake is recoverable, Section 56(2) does not empower the licensee to resort to the coercive measure of disconnecting the supply to recover such an additional demand; a disconnection effected for that purpose is impermissible and the supply must be restored. **order of 27.6.2022**
3. A consumer is bound by the terms of the bilateral supply agreement (here, a 560 KVA connection sanctioned in tariff HV-1) and cannot dispute billing in accordance with the contracted tariff; a plea that the tariff was unilaterally 'changed', contradicted by the consumer's own contract, is a wrong statement on oath that misguides the Court. **order of 27.6.2022**
4. Where a large additional demand is upheld, the consumer may be permitted to pay it in instalments by applying under Clause 6.14 of the U.P. Electricity Supply Code, 2005 on depositing a part of the amount, current bills meanwhile being paid at the contracted tariff. **order of 27.6.2022**

HOLDING-UNITS

INTERPLAY · EA2003::56(2)

RATIO

A supplementary demand correcting a bona fide billing/tariff mistake is not barred by Section 56(2); limitation runs from discovery of the mistake; the consumer is bound by the contracted tariff

QUESTION

Is an additional/supplementary electricity demand - raised to correct bills mistakenly issued in the wrong tariff (HV-2 instead of the contracted HV-1) - barred by the two-year limitation in Section 56(2) of the Electricity Act, 2003, and can the consumer dispute billing in the contracted tariff?

HOLDING

No to the bar; no to the dispute. The petitioner's own contract dated 24.09.2015 showed the sanction was in tariff HV-1, so, being bound by the bilateral agreement, it could not dispute billing in HV-1, and its plea that the tariff had been 'changed' after seven years was a wrong statement on oath made to misguide the Court. Applying Rahamatullah Khan, the Court held that Section 56(2) does not preclude a licensee from raising an additional or supplementary demand after the limitation period in the case of a mistake or bona fide error, and that under Section 17(1)(c) of the Limitation Act, 1963 the limitation for such a mistake runs from the date it is first discovered (here 2021). The staleness/two-year-bar plea was therefore rejected, and the petitioner was held liable to pay the additional demand from the date of sanction of load until the bills were mistakenly raised in HV-2. **order of 27.6.2022**

EVIDENCE "Section 56(2) of the Electricity Act 2003 does not preclude the licensee company from raising any additional or supplementary demand after expiry of the limitation period prescribed in Section 56(2) in case of mistake or bona fide error." **order of 27.6.2022**

EVIDENCE "as per the Section 17(1)(c) of the Limitation Act, 1963, in case of a mistake, the limitation period begins to run from the date when the mistake discovered for the first time." **order of 27.6.2022**

EVIDENCE "the contract being a bilateral agreement the petitioner was obliged to make payment of electricity charges in accordance with the tariff plan HV-1 and cannot raise any dispute with regard to the demand made by the department." **order of 27.6.2022**

EVIDENCE "It is clear that the petitioner has tried to misguide the Court by making a wrong statement on oath." **order of 27.6.2022**

FLAG Single substantive order dated 27.06.2022 (preceded by an adjournment order of 20.06.2022) with no printed page numbers and no numbered paragraphs; pins reference the order date. The order once refers to 'Section 56(2) of the Electricity Supply Code 2003' - a slip for Section 56(2) of the Electricity Act, 2003, the provision throughout in issue.

QUESTION

Even where an additional/supplementary demand is recoverable, may the licensee disconnect the supply as a coercive measure to recover it?

HOLDING

No. Applying *Rahamatullah Khan*, the Court held that though Section 56(2) permits a supplementary demand for a bona fide mistake, it does not empower the licensee to resort to the coercive measure of disconnecting the supply to recover the additional demand. The department should not have disconnected the petitioner's electricity for the additional demand raised in 2021, and the Court directed it to reconnect the supply forthwith (by the next evening), leaving it open to the department to proceed in accordance with law only in the event of the petitioner's default of the conditions imposed. **order of 27.6.2022**

EVIDENCE “it does not empower the licensee company to resort to the coercive measure of disconnection of electricity supply, for recovery of additional demand.” **order of 27.6.2022**

EVIDENCE “the respondent department should not have disconnected the electricity for the additional demand which was raised in the year 2021, in view of the Section 56(2) of the Electricity Supply Code 2003.” **order of 27.6.2022**

EVIDENCE “We, therefore, direct the department to connect the electricity forthwith, i.e by tomorrow evening.” **order of 27.6.2022**

PRINCIPLE TAGS

supplementary-demand-for-bona-fide-mistake-not-barred-by-s56-2 The under-billing arose from bills mistakenly raised in HV-2 instead of the contracted HV-1; applying *Rahamatullah Khan*, the Court held the corrective supplementary demand not barred by Section 56(2), the limitation running from discovery of the mistake under Section 17(1)(c) of the Limitation Act, 1963. Lead authorities: *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Ltd v. Rahamatullah Khan* [SCJ-009]. **order of 27.6.2022**

no-disconnection-as-coercive-recovery-of-additional-demand The Court held that Section 56(2) does not empower disconnection to recover an additional demand and directed the department, which had disconnected for the 2021 additional demand, to reconnect the supply forthwith. Lead authorities: *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Ltd v. Rahamatullah Khan* [SCJ-009]. **order of 27.6.2022**

consumer-bound-by-contracted-tariff-wrong-statement-on-oath The petitioner's own contract showed a HV-1 sanction; being bound by the bilateral agreement it could not dispute HV-1 billing, and its plea of a tariff 'change' was held a wrong statement on oath made to misguide the Court. **order of 27.6.2022**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE EXACT QUANTUM OF THE ADDITIONAL DEMAND PAYABLE AND THE INSTALMENT SCHEDULE

The petitioner was held liable for the additional demand from the date of sanction of load until the bills were mistakenly raised in HV-2, but the final figure and instalments were left to the Executive Engineer under Clause 6.14 on the petitioner's application after depositing Rs.25 lacs; the Court did not fix them. **order of 27.6.2022**

RELATED CASES — SEE ALSO

SCJ-009 — *Assistant Engineer (D1), Ajmer VVNL v. Rahamatullah Khan* - the governing Supreme Court decision applied here: a supplementary demand for a bona fide mistake is not barred by Section 56(2), but Section 56(2) does not permit disconnection to recover it.

SCJ-283 — *M/S Om Food Manufacturing Center* - a large supplementary demand alleging the licensee's own billing mistake, tested against Section 56 as declared in *Rahamatullah Khan*, the same mistake/supplementary-demand axis.

SCJ-2855 — *Balwan Singh* - the two-year limitation under Section 56(2) r/w Clause 6.15, invoked (there prima facie) against a post-disconnection recovery, the staleness plea rejected here on the facts of a bona fide mistake.

SCJ-198 — *Smt. Mamta Devi Srivastava* - marks the boundary of Section 56(2): the two-year bar does not apply to the current bills of a continuing consumer, cognate to the additional/current-bill distinction drawn here.

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Ltd and another v. Rahamatullah Khan alias Rahamjulla</i> Civil Appeal No. 1672 of 2020 [SCJ-009] Supreme Court of India	Section 56(2) of the Electricity Act, 2003 does not preclude a licensee from raising an additional/supplementary demand after the limitation period in case of a mistake or bona fide error, but does not empower it to resort to the coercive measure of disconnection to recover the additional demand; under Section 17(1)(c) of the Limitation Act, 1963 the limitation for a mistake runs from its first discovery.	Relied on by the petitioner for staleness and applied by the Court, which drew from it both the recoverability of the supplementary demand and the bar on disconnection for its recovery. order of 27.6.2022	Petitioner	Applied
<i>Maharashtra State Electricity Distribution Company Ltd v. The Electricity Ombudsman and other (Writ Petition No. 10764 of 2011)</i> High Court of Judicature at Bombay	Cited for the proposition that recovery of electricity dues beyond two years is stale and cannot be made.	Relied on by the petitioner; the staleness plea was rejected on the facts, the demand being a supplementary demand for a bona fide mistake. order of 27.6.2022	Petitioner	Referred

SCJ-2862 · Abdul Wahid Educational and Charitable Trust (Reg.) v. Chief Engineer, Paschimanchal and 3 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.